

substantial reduction in maximum drawdown compared to the 60/40 balanced portfolio without having to resort to more than a 30% permanent allocation to bonds.

Table 9.4 Global Balanced Momentum Versus Benchmarks, 1974–2013

	Global Balanced Momentum	70% GEM, 30% Agg Bonds	70% ACWI, 30% Agg Bonds	60% S&P 500, 40% Agg Bonds
Annual return	16.04	14.52	8.59	10.58
Annual std dev	10.06	9.50	11.37	10.15
Annual Sharpe	0.98	0.90	0.28	0.49
Max drawdown	–16.83	–15.46	–45.74	–32.54

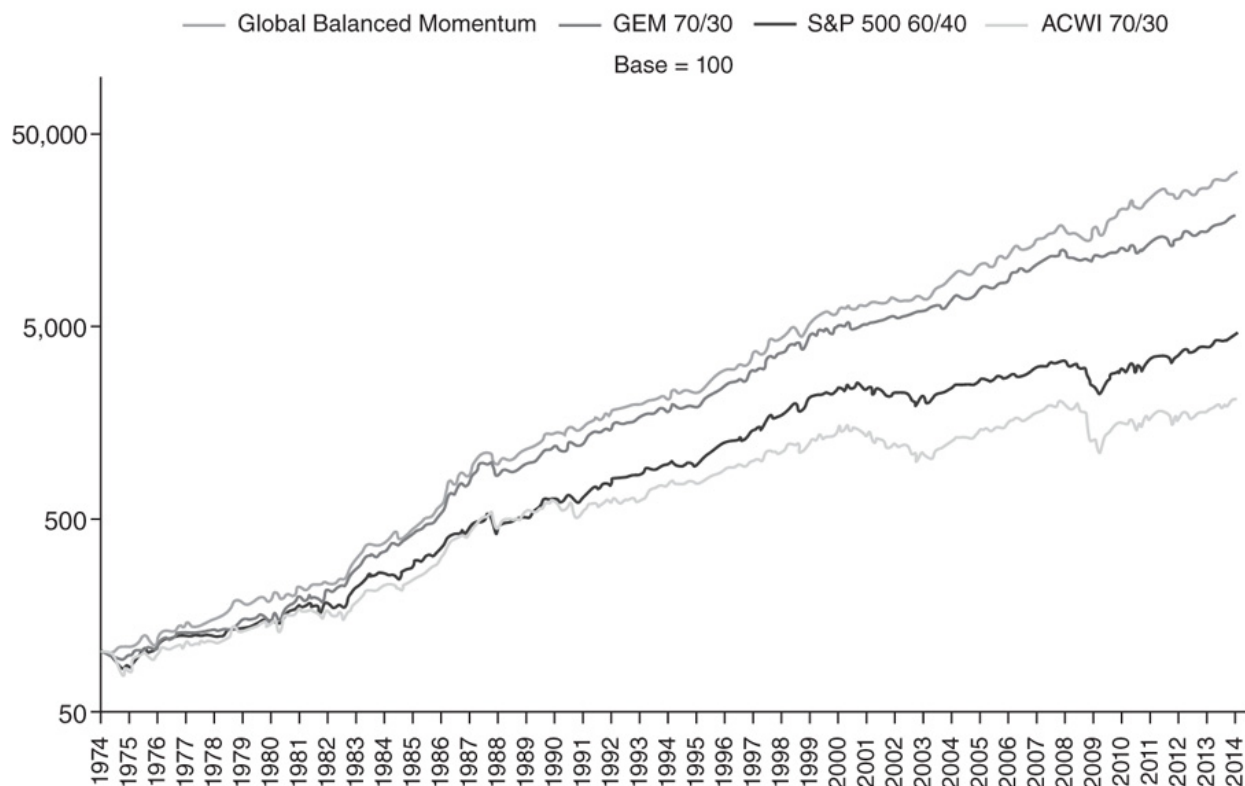


Figure 9.2 Global Balanced Momentum, 1974–2013